

How to Read a Comparable Company Analysis (And What the Numbers Are Actually Telling You)

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Comps are supposed to be the "sanity check" valuation method — the one grounded in what the market is actually paying for similar businesses right now, no forecasting heroics required. But that's also exactly why comps are so easy to get wrong. Pick the wrong peer set, or misread what a multiple is actually telling you, and you'll anchor a valuation to a number that looks precise and is completely meaningless.

Building the comp set is the mechanical half of the job. Reading it — knowing why one peer trades at 15x EBITDA while another trades at 9x, and what that spread means for your subject company — is the actual skill. Here's how I walk through my own comps model.

1. Comps Inputs — Garbage In, Garbage Out

Everything downstream depends on this tab being clean. For every peer, I pull Market Cap, Total Debt, Minority Interest, Preferred Equity, and Cash to build Enterprise Value — $EV = \text{Market Cap} + \text{Debt} + \text{Minority Interest} + \text{Preferred} - \text{Cash}$. Get any one of those wrong for a single peer and every multiple built off that peer's EV is quietly wrong too.

- The Adjustment Column Matters More Than People Think: Column O in this tab exists to strip non-recurring items — stock-based comp, restructuring charges, one-off legal settlements — out of reported EBITDA to get to Adjusted EBITDA. Skip this step and a peer that took a big one-time restructuring charge will look artificially cheap on EV/EBITDA, dragging your whole median down.
- LTM vs. NTM Split: I pull both trailing (LTM) and forward (NTM) financials for every peer. NTM multiples are almost always lower than LTM for a growing business — if a peer's NTM multiple is higher than its LTM multiple, that peer's earnings or EBITDA are expected to shrink, and you should know why before using it in your comp set.

2. The TSM Module — Diluted Shares, Tranche by Tranche

Before any multiple is calculated, every peer's share count needs to be diluted correctly using the Treasury Stock Method. My module breaks this into low-strike, mid-strike, and high-strike option tranches plus RSUs, and checks each tranche against the current share price to see if it's actually in-the-money.

- High-Strike / Out-of-the-Money Tranches: These get flagged "No" for in-the-money and contribute zero net dilution — correctly so. A common mistake I see in less careful comps builds is diluting for every option outstanding regardless of strike price, which overstates share count and understates market cap and EV for every peer with a lot of underwater options.
- RSUs Always Dilute: Unlike options, RSUs generate no proceeds to repurchase shares against, so they go through as full dilution. If a peer has a large unvested RSU pool relative to basic shares, that's a real, near-term overhang on per-share metrics — not a maybe.

Get this wrong and every EV, market cap, and per-share multiple downstream inherits the error. This is the tab people skip because it feels like plumbing — it's actually the foundation.

3. Trading Comps — Reading the Multiple Spread, Not Just the Median

This is where the peer set actually gets compared. For each company I calculate EV/Revenue, EV/Adj. EBITDA, EV/EBIT, and P/E across both LTM and NTM, plus margin and growth metrics, then summarize with Mean, Median, High, Low, and 25th/75th percentile.

- Tight Multiple Range Across Peers: If EV/EBITDA for your seven peers clusters between, say, 8x and 10x, the market has a fairly settled view on how this sector should be valued. You can lean on the median with real confidence.
- Wide Spread Between High and Low: A spread running from 6x to 18x tells you the peer group isn't as comparable as the ticker list suggests — different growth rates, different margin profiles, maybe different end markets hiding under a similar SIC code. In that situation, the mean or median is close to useless on its own; you need to figure out where your subject company actually sits within that range and why.
- Adj. EBITDA Margin and Revenue Growth Columns: These aren't decoration. A peer trading at a premium multiple almost always has either a materially higher margin or higher growth than the rest of the set — and if it has neither, that peer might just be mispriced, or you're missing something about why the market likes it.

4. Valuation Summary — Where Judgment Gets Applied to Math

This is the tab where comps stops being purely mechanical. The 25th and 75th percentile multiples from Trading Comps flow in automatically, but then get run through a set of discount and premium toggles before they're applied to the subject company's financials.

- Illiquidity / Minority Discount (typically -10% to -20%): Applied when you're valuing a private company or a minority stake — there's no public market to sell into, so the multiple gets haircut versus a freely-traded peer.
- Size / SMID-Cap Discount (typically -5% to -15%): Smaller companies trade at structurally lower multiples than large caps in the same sector — less liquidity, less analyst coverage, higher perceived risk. If your subject company is materially smaller than the peer set's median, applying zero size discount overstates value.
- Control Premium (typically +20% to +30%): Goes the other way — if you're valuing this in an M&A context rather than a trading context, a buyer pays up over the trading price to actually gain control of the business.

In my model, the toggles combine into a single Net Adjustment Factor — in the base case here it nets out to 0.855, meaning the discounts (illiquidity and size) outweigh any premium being applied. That single number is doing a lot of work; know exactly which toggles you turned on and why before you defend this valuation to anyone.

5. Football Field — The Chart Everyone Actually Looks At

This tab takes every valuation method — EV/Revenue, EV/EBITDA, EV/EBIT, P/E, across both LTM and NTM — and lines up the implied price ranges side by side, post-discount.

- Methods That Agree: If EV/EBITDA, EV/Revenue, and P/E all imply a similar price range, that's real convergence — a strong signal the valuation is well-anchored regardless of which specific multiple someone in the room prefers.
- Methods That Wildly Disagree: If P/E implies a price range far above or below what EV/EBITDA implies, one of two things is true — either the subject company's capital structure (leverage, non-operating items) is materially different from peers in a way that's distorting the equity-level multiple, or one of your inputs is wrong. Either way, that's the row to go back and interrogate, not average away.

The Overall Implied Price Range at the bottom is the number that ends up in the banker's pitch deck. Everything above it is the justification for how you got there.

6. Sensitivity Tables — Stress-Testing Your Own Assumptions

The two data tables here flex Adj. EBITDA and Revenue against a range of EV multiples (5x to 12x on EBITDA, 1x to 5x on Revenue) to show implied share price across a grid of assumptions, already incorporating the discount factor.

- Wide Price Swings Across the Grid: If moving one turn of multiple (say 8x to 9x EBITDA) swings the implied share price by a large amount, this valuation is highly multiple-sensitive — meaning the debate in the room should really be about which multiple is defensible, not about anything else in the model.
- Narrow Price Swings: If the grid barely moves across a full multiple turn, revenue or EBITDA dominates the outcome more than multiple choice does — worth knowing before you spend an hour arguing over 0.5x on EV/EBITDA.

Summary Checklist for Reading My Model:

1. Check the peer set quality first — are these actually comparable businesses, or just similar tickers?
2. Verify diluted share counts came through the TSM Module correctly before trusting any per-share multiple.
3. Look at the spread of multiples across peers, not just the median — a tight range earns more confidence than a wide one.
4. Understand every discount/premium toggle applied in the Valuation Summary and be ready to defend each one individually.
5. Check whether your different valuation methods converge or diverge on the Football Field.
6. Stress-test with the sensitivity tables to know which assumption is actually driving your answer.

Comps will never tell you what a business is "worth" in some absolute sense — they tell you what the market is currently willing to pay for something similar. My model is built to make that distinction obvious at every step, instead of hiding it behind a single clean-looking number.